Northwind Home Loans: Key Facts

Sample document: Northwind Community Bank is fictional and all figures are invented for testing. Not financial advice.

Northwind Community Bank offers fixed-rate and adjustable-rate mortgages for buying or refinancing a primary residence.

30-Year Fixed Mortgage

- Interest rate: 6.125%, APR: 6.284%
- Loan amounts up to $766,550
- Minimum down payment: 5% of the purchase price
- Origination fee: 1% of the loan amount

15-Year Fixed Mortgage

- Interest rate: 5.375%, APR: 5.521%
- Loan amounts up to $766,550
- Minimum down payment: 10% of the purchase price
- Origination fee: 1% of the loan amount

5/6 Adjustable-Rate Mortgage

- Initial interest rate: 5.750% for the first 5 years, APR: 6.912%
- After 5 years the rate adjusts every 6 months
- Rate caps: 2% at the first adjustment, 1% at later adjustments, 5% over the life of the loan
- Minimum down payment: 10% of the purchase price

Fees for all home loans

- Application fee: $0
- Appraisal fee: $550 (estimate, paid to the appraiser)
- Late payment fee: 5% of the overdue monthly payment

Eligibility

Applicants need a credit score of 620 or higher and a debt-to-income ratio of no more than 43%. The home must be your primary residence.